

First Move Down

Why the First Move Down works:

- An in-play stock can attract selling as participants look to take profits
- We will wait for this selling to end or be met by buyers
- We will wait for the first green candle at a support level to indicate that the buying is starting to overwhelm sellers

Entry Rules (inverted rules for the short side):

- Enter on a new 1-min high after the first green candle

Stop Loss Rules:

- The stop should be placed one penny below the LOD
- We will give this trade two attempts as it can sometimes break the LOD and then rebid right after

Exit Rules:

- This is a move2move trade so we will look for two legs
- We want to exit half into the first leg and sell the rest into the second leg

Factors that increase the probability of this trade working:

- We want to see buying at a support level
- We will look for a quick move higher after our entry
- We want to see a squeeze through VWAP to show us continued buying strength

Factors that decrease the probability of this trade working:

- We do not want to see the initial selling break an important support level
- We do not want to see selling pressure after our entry
- We do not want to see VWAP act as resistance as this may indicate that there are institutions passively selling the stock

The ideal times of day to take this trade:

- Opening Auction (9:33 AM - 9:45 AM)

When do we avoid this trade entirely?:

- We will avoid this trade entirely if the selling is slow and controlled as this can oftentimes be indicative of a selling program



